

Global Aerospace & Defense

European Defense: Into Q2'26 - Long Leonardo, Thales, Rheinmetall



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European Defense stocks are decoupling after a period of broad performance. Ahead of Q2'26, we favor self-help stories (Leonardo, Thales) and superior growth (Rheinmetall).

Leonardo (30 July). We expect another beat-and-raise. We are +5% above consensus on EBITA and expect FCF to improve too. Growth should be broad-based. We would not be surprised to see the 2026 guidance upgraded across all metrics (except FCF). In a more challenging environment for European defense stocks, Leonardo stands out as a self-help story with room for earnings upgrades and re-rating, if execution continues. The stock trades on 11x EBITDA (vs. 14x for the sector). The correction that followed the surprise CEO change is an opportunity, in our view, as the strategy should be unchanged.

Thales (23 July). We expect a solid Q2'26 print, driven by momentum in the core A&D businesses. We are +6% above consensus on A&D, but -6% below on Cyber & Digital. We expect our tactical upgrade to materialize in Q2'26, as we believe Cyber will return to growth and is no longer material enough to drive downgrades (8% of sales, easy comps and lower expectations).

Rheinmetall (6 August). Q2'26 is the key ST catalyst for Rheinmetall. We expect the company to meet its implied +60% topline target. If it does, we see scope for the stock to regain some losses. The next catalyst will be the Arminius Boxer order. We expect the first tranche to come in full by the end of 2026. This should help rebuild credibility. We are less confident about the following ones (end of the decade). And we see risk to LT consensus estimates, even if they have already come down. We are -18% below consensus on 2030 EBIT. Yet, at these levels, we believe the risk-reward is attractive for a company that has an unmatched growth profile.

Dassault Aviation (22 July). We do not expect particularly strong H1'26 results, due to the soft Falcon deliveries. Last year's results pushed the stock down in a similar scenario, but we believe expectations have been managed more effectively. The key catalyst remains the mega Indian Rafale order, which we expect to be finalized by the end of 2026. Longer term, Dassault benefits from unmatched visibility thanks to its Rafale backlog, but we see limited near-term catalysts post-India order.

BAE Systems (30 July). We expect a relatively soft set of H1'26 results, with growth and margins in line with the annual guidance. The key focus for investors is likely to be the 2027 US defense budget, where BAE is well positioned (45% of sales). It will come later in the year. While we see BAE as a high-quality compounder, we do not expect earnings upgrades before the US budget is approved.

TKMS (12 August). We saw a tactical opportunity, driven by major order wins ([here](#)). The thesis has played out, and we do not expect large campaigns to be finalized before the end of the year, at the earliest (India, F127). Hence TKMS should revert to a fundamental "show-me" story, which we view as less attractive. We will update our expectations ahead of the quarter after speaking with the company.

BERNSTEIN TICKER TABLE

Ticker	Rating	Cur	6 Jul 2026	Price Target	TTM Rel. Perf.	Adjusted EPS				Adjusted P/E (x)		
			Closing Price			Cur	2025A	2026E	2027E	2025A	2026E	2027E
BA/.LN (BAE Systems)	M	GBp	2,025.00	2,050.00	(10.9)%	GBP	0.75	0.85	0.99	26.9	23.7	20.5
OLD								0.86				
AM.FP (Dassault Aviation)	M	EUR	311.20	330.00	(14.2)%	EUR	13.60	15.69	19.66	22.9	19.8	15.8
LDO.IM (Leonardo)	O	EUR	54.92	65.00	(0.2)%	EUR	2.12	2.51	2.98	25.9	21.8	18.4
OLD								2.34	2.78			
RHM.GY (Rheinmetall)	O	EUR	1,130.00	1,900.00	(55.8)%	EUR	22.29	35.48	54.53	50.7	31.8	20.7
OLD								35.51				
HO.FP (Thales)	O	EUR	241.10	290.00	(21.3)%	EUR	9.76	11.03	13.01	24.7	21.9	18.5
TKMS.GY (TKMS)	M	EUR	93.30	76.00	NA	EUR	1.65	2.10	2.57	27.2	21.2	17.6
EDME			1,606.65									

ESTIMATE CHANGE IN BOLD

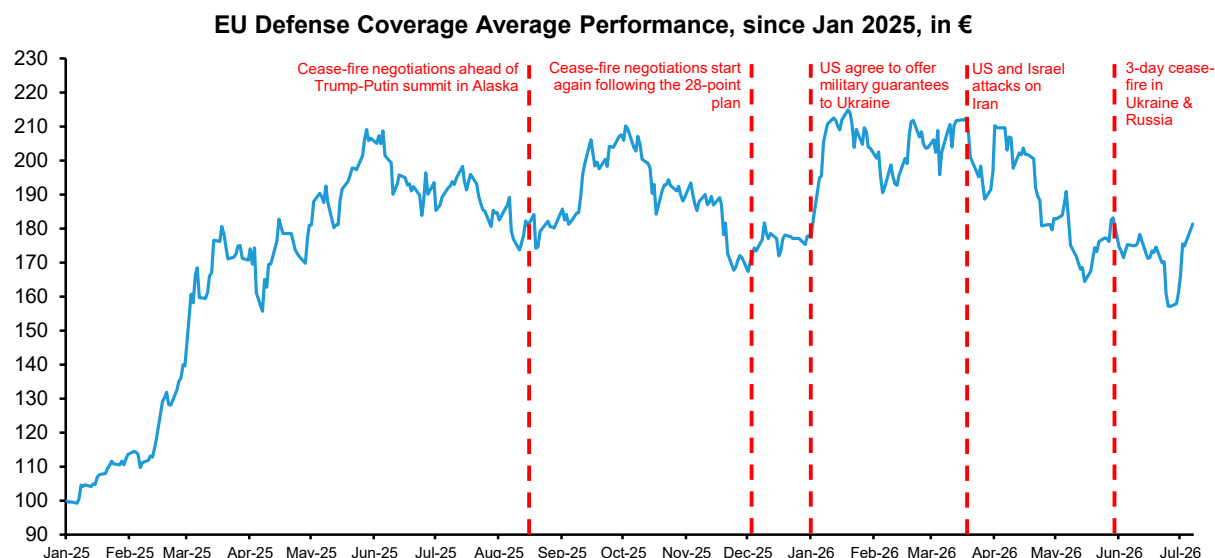
O - Outperform, M - Market-Perform, U - Underperform, NR - Not Rated, CS - Coverage Suspended

LDO.IM estimate is Reported EPS; LDO.IM valuation is Reported P/E (x); TKMS.GY valuation is EV/EBITDA (x);

Source: Bloomberg, Bernstein estimates and analysis.

DETAILS

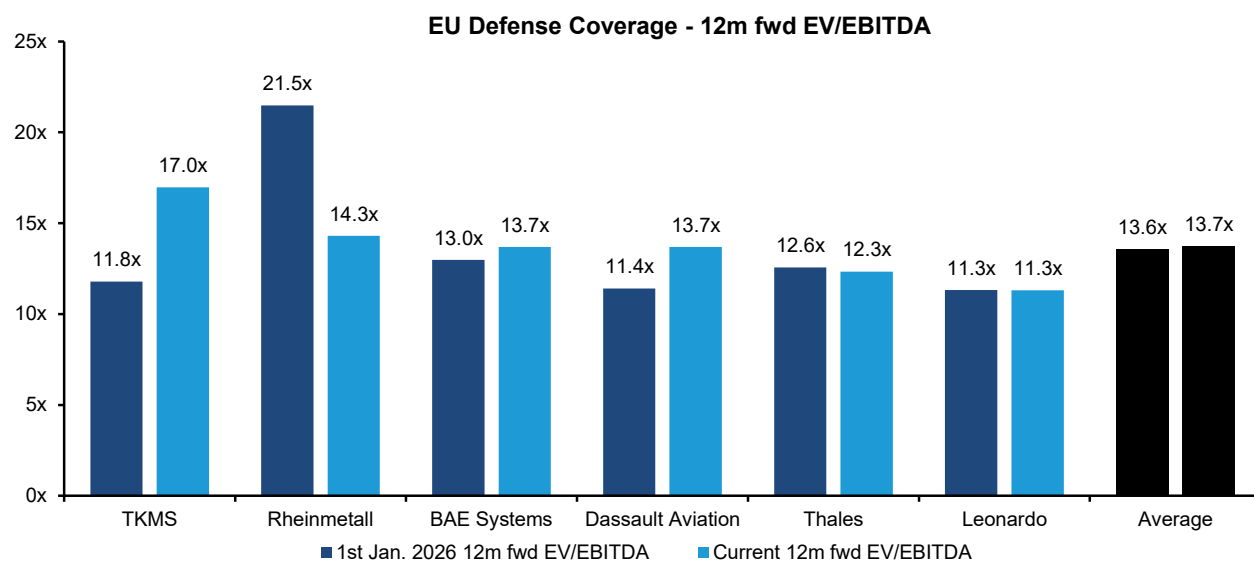
EXHIBIT 1: European Defense has been extremely volatile since 2025...



EU defense coverage includes Rheinmetall, BAE Systems, Thales, Leonardo and Dassault Aviation

Source: Bloomberg, Bernstein analysis

EXHIBIT 2: ... But most stocks are trading in line with the early 2026 valuations



Source: Bloomberg, Bernstein analysis

We summarize our views into Q2'26, after speaking to most companies, in order of tactical preference below:

LEONARDO (30 JULY)

Another beat-and-raise. We expect Q2'26 results to be strong, and stand +5% consensus on EBITA. We also expect FCF generation to be stronger as Leonardo reduces the phasing impact (strong Q4, softer quarters before). We expect the strength to be driven across all businesses. The acquisition of Iveco implies upside to forecasts on DES, in our view. We expect the 2026 guidance to be upgraded across all metrics (except FCF).

Combination of earnings upgrades and re-rating. As we perceive the current environment as challenging for the sector, Leonardo stands out for being more of a self-help story. We believe the stock can keep getting estimates upgrades and should re-rate if it keeps delivering improving fundamentals. Leonardo is also screening well to resist the “new warfare” narrative, as its portfolio is skewed to electronics, missiles and air defense.

CEO change. In early April, media sources reported that the Italian government intended to replace Leonardo’s CEO Roberto Cingolani as part of the regular renewal of boards at state-controlled companies. Leonardo was among the three companies mentioned (Leonardo, Eni, Enel). The news came as a surprise and the timing was poor, given Cingolani has been running the turn-around story since 2023. And had just hosted a positive Industrial Plan in March, where he dominated all the presentations. Despite the surprise effect and the lack of communication at the time, we do see the rationale for such a change. Cingolani has been a very successful driver of the performance for the company. But, he is a scientist and an Italian politician by background. The new CEO, Lorenzo Mariani, has been at Leonardo and MBDA since 2002. He brings experience in the key structural segments, namely MBDA and Electronics, and should be well positioned to run the business in the second leg of the story, as Leonardo is shifting from a turn-around story to a growth story within European defense.

EXHIBIT 3: Leonardo: Q2'26 preview

Leonardo, in €m	Q2'25 Reported	Q2'26 Consensus	Bernstein	Bernstein vs. cons
Revenue				
Helicopters	1,530	1,602	1,637	
Defense Electronics & Security	1,952	2,213	2,352	
Cyber & Security Solutions	191	215	220	
Aeronautics	1,067	1,241	1,199	
Space	236	255	274	
Others / elimination	-216		-193	
Group	4,760	5,410	5,489	1.5%
EBITA				
Helicopters	132	138	148	
Defense Electronics & Security	238	278	298	
Cyber & Security Solutions	18	21	24	
Aeronautics	58	88	99	
Space	13		18	
Others	-89		-93	
Group	370	470	493	5.0%
EBIT	243		445	
EPS	0.21		0.49	
Revenue growth				
Helicopters			7.0%	
Defense Electronics & Security			20.5%	
Cyber & Security Solutions			15.0%	
Aeronautics			12.4%	
Space			16.0%	
Group		13.6%	15.3%	167bps
EBITA margin				
Helicopters	8.6%		9.0%	
Defense Electronics & Security	12.2%		12.7%	
Cyber & Security Solutions	9.4%		11.0%	
Aeronautics	5.4%		8.3%	
Space	5.5%		6.6%	
Group	7.8%	8.7%	9.0%	

Source: Company reports, Bloomberg consensus, Bernstein analysis and estimates

EXHIBIT 4: **Leonardo: 2026 guidance vs. Consensus and Bernstein**

2026 Industrial plan, in €bn	2026 guidance	2026 guidance including Iveco Defense	Consensus	Bernstein	Consensus vs. Guidance incl. Iveco	Bernstein
Orders	€25bn	€26.2bn	€25bn		-4.6%	
Revenues	€21.0bn	€22.1bn	€21.6bn	€22.61bn	-2.0%	2.3%
EBITA	€2.03bn	€2.15bn	€2.12bn	€2.30bn	-1.4%	6.8%
FOCF	€1.11bn	€1.33bn	€1.12bn	€1.24bn	-15.9%	-6.7%

Source: Company data, company-compiled consensus, Bernstein analysis and estimates

THALES (23 JULY)

Tactical call materializing in H1'26. We upgraded Thales earlier in the year as we saw the set-up as improving. Thales has been a funding short for many hedgefunds in 2025 because it was one of the few European Defense stocks with lower exposure to military activities (just over 50% of sales) and a clear problem: the Cyber business. We believe the drivers behind this negative thesis are weakening. We expect Q2'26 to deliver strong growth in the core A&D business (we are +5% above consensus on each division) and despite our negative stance on Cyber, we think the business does not matter anymore (8% of sales) and will return to growth, thanks to easy comps (detailed notes from the group pre-close below).

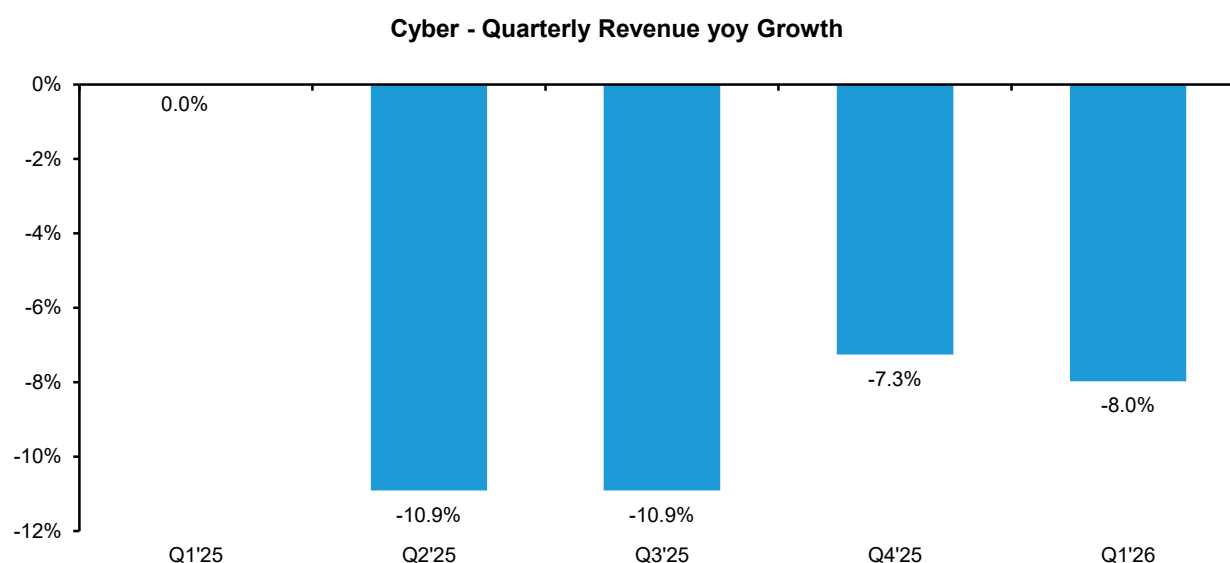
Acquisition of Exail. Thales' acquisition of Exail is strategically compelling but unlikely to materially impact the group in the near term given Exail's relatively small size (approximately €479 million in 2025 sales, or around 2% of Thales' revenue). The transaction strengthens Thales' naval franchise by adding leading positions in maritime robotics, navigation systems, mine countermeasures, and naval drones, while complementing its existing defense portfolio and stake in Naval Group. We view the deal positively from a strategic standpoint, as it reinforces Thales' core defense activities at a time when investor attention has been focused on the weaker performance of its Cyber business and the integration of Imperva. However, the acquisition comes at a rich valuation of roughly 28x forward EV/EBIT, well above European defense peers, reflecting Exail's superior growth and margin profile. While management expects meaningful synergies over time and Exail offers attractive growth prospects, we see limited near-term financial upside until those synergies begin to materialize. It supports the view that Thales is focusing on the core A&D business, which we view as a strong positive.

F126 cancellation impact. Following Germany's decision to terminate the F126 frigate program, Thales announced it expects to record an exceptional, largely non-cash charge of approximately €450m in H1 2026. It will reduce net income by around €350. The company stressed that the charge will have no impact on adjusted EBIT, adjusted net income, or free operating cash flow. After the exceptional charge. The impact should be limited (0.5% of 2026 sales and less than 1% of annual sales thereafter). Thales was surprised by the decision from the German DoD and is seeking compensation.

Notes from the Q2'26 pre-close call

- **Orders.** Upgraded book-to-bill guidance for 2026, but order intake is lumpy by nature and the guidance upgrade might not that strong in Q2'26. Difficult comps due to Rafale order (26x) in Q2'25.
- **FX impact** -116m in Q1'26. Expect currency impact to be broadly neutral in Q2'26. 2026 guidance is based on €/€ of 1.18.
- **Scope.** Slightly positive due to minor operations.
- **Aerospace.** Drivers in avionics are intact. OE is enjoying strong visibility from Airbus and ramp up will continue. In Aftermarket, more cyclical due to the Middle East traffic. April and May cycles were down. Thales say they will see some impact on aftermarket in Q2'26. Space, one-off element impacting: SES renounces to 2 geostationary satellites ordered in 2022. €150m impact in Q2'26. In Space, order momentum remains solid and Thales can reuse these satellites. Qatar order to build GEO program.
- **Defense.** Solid momentum continues across all domains. Particular strength in ammunition, air defense and naval.
- **Cyber & Digital.** Cyber is anticipated to gradually improve over 2026. Q2'26 should see the business return to growth. In Digital, nothing new from Q1'26. Tough comps in Secure Connectivity.

- **Adjusted EBIT.** In Aerospace, margins should consolidate in 2026 after solid levels in 2025. The strength in aftermarket from 2025 implies more difficult mix in 2026 as air traffic worsened in Q2'26. Negative element from SES might impact the margins in Q2'26. In Cyber & Digital, margins are expected at 13% this year. In line with 2025 excluding one-offs.
- **EBIT Phasing.** H2'26 will be better than H1'26. H1'25 had a one-off benefit. Cyber improvement should drive better mix in H2'26. FX impact was a -50bps impact in Q1'26.
- **Other items:** Naval contribution in line with 2025 (~€90m). French surtax reiterated, between €90m and €100m. Restructuring costs for 2026 should be €120m. All incorporated in the 2026 guidance. Cost of debt €150m, flat vs. 2025. Cash rates decreased in 2025.
- **FCF conversion** is now upgraded to 100-110%.

EXHIBIT 5: **Cyber will face easier comps from Q2'26**

Source: Company reports, Bernstein analysis

EXHIBIT 6: **Thales: Q2'26 preview**

Thales, in €m	Q2'25 Reported	Q2'26 Consensus	Q2'26 Bernstein	Bernstein vs. Consensus
Revenue				
Aerospace	1,417	1,496	1,584	5.9%
Defense	2,896	3,089	3,258	5.5%
Cyber & Digital	959	1,022	956	-6.5%
Other	32	32	38	
Group	5,304	5,646	5,836	3.4%
Revenue growth				
Aerospace		5.6%	11.8%	618bps
Defense		6.7%	12.5%	583bps
Cyber & Digital		6.6%	-0.3%	-688bps
Group		6.5%	10.0%	357bps

Source: Company reports, VA consensus, Bernstein analysis and estimates

EXHIBIT 7: **Thales: H1'26 preview**

Thales, in €m	H1'25 Reported	H1'26 Consensus	H1'26 Bernstein	Bernstein vs. Consensus
<u>Adj. EBIT</u>				
Aerospace	252	283	315	11.4%
Defense	720	798	847	6.1%
Cyber & Digital	265	241	236	-2.0%
Other	11	1	19	
Group	1,248	1,325	1,416	6.9%
Adj. EPS	4.10	4.61	5.02	8.9%
FCF	499	337	468	38.8%
<u>Adj. EBIT margin</u>				
Aerospace	9.1%	9.8%	10.6%	78bps
Defense	12.9%	13.1%	13.4%	35bps
Cyber & Digital	14.2%	12.7%	13.0%	27bps
Group	12.2%	12.1%	12.7%	57bps

Source: Company reports, VA consensus, Bernstein analysis and estimates

EXHIBIT 8: **Thales: 2026 guidance vs. Consensus and Bernstein**

2026 guidance	Guidance	Guidance mid-point	Consensus	Bernstein	Consensus vs . Guidance	Bernstein mid-point
Book-to-bill	>1	1	1.1		14.0%	
Sales	€23.3-23.6bn	€23.45bn	€23.7bn	€24.3bn	1.2%	3.5%
Sales organic growth	+6-7%	6.5%	8.7%	9.6%	217bps	311bps
Adj. EBIT margin	12.6-12.8%	12.7%	12.6%	12.9%	-6bps	15bps

Source: Company reports, VA consensus, Bernstein analysis and estimates

RHEINMETALL (6 AUGUST)

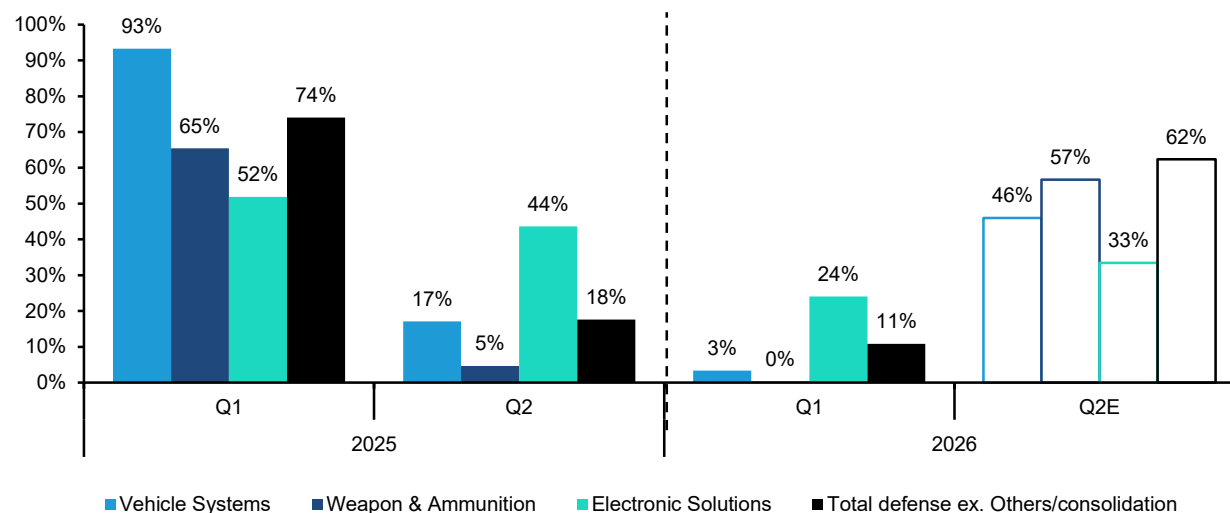
H1'26 results on August 6th. Our base case is that Rheinmetall meets the implied guidance of +60% topline growth in Q2'26. After speaking to the company, modeling the easy comps and the reverse one-offs from Q1'26, we believe it is achievable. We also checked the company's hit-rate on "informal" quarter guides from the past, which is close to 100%. We view Q2'26 as the most important near-term catalyst for Rheinmetall shares. A successful Q2 print should help break the earnings downgrade cycle and support re-rating.

Arminius Boxer order. The large Boxer order should come later in the year. Rheinmetall's hopeful guidance of the order coming in 2026 has been consistently delayed. Other suppliers have mentioned Q3 and Q4 as a more reasonable expectation, once the German government returns from the summer break. We believe this order will come in full (~1800 vehicles, between €12bn and €25bn), as Germany needs to send a supportive message and encourage capacity increases. We see the next tranches are riskier. The recording of the Arminius order should be the most important catalyst for the stock in 2026.

Sentiment finally improving. The stock was hammered by the surprise F126 frigate order cancellation. We interpret the cancellation as a rationale decision from the German government for a problematic order (Damen has been late for years) rather than a message sent to Rheinmetall. We also got confirmation from TKMS and Thales that the shift was unexpected and unannounced. We would not extrapolate this to other orders, but flag that Rheinmetall's framework agreement backlog (including non-contracted orders) puts the company at risk on a credibility aspect. The stock collapsed, because of the credibility hit (stock down -19% while the order has a LSD% impact on 2030 earnings). We expect it will take time to recover credibility. But we have finally seen investors more interested in the stock as it remains one of the fastest growing and most profitable companies in the defense, with a clear growth cycle, a great positioning, and a very cheap valuation. We are still substantially below consensus on 2030 earnings (-18% below) but believe that the risk-reward is attractive, at these levels.

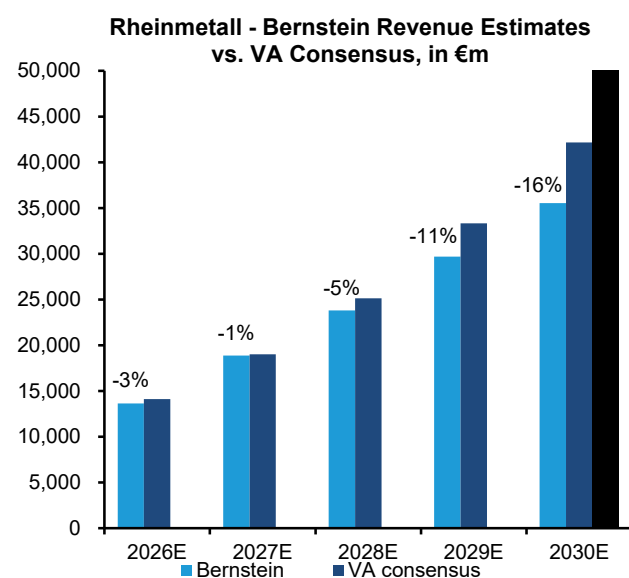
EXHIBIT 9: Rheinmetall faced high comps in Q1 which are easing from Q2

Rheinmetall - Revenue Growth by Division and Group



Source: Company reports, Bernstein analysis and estimates

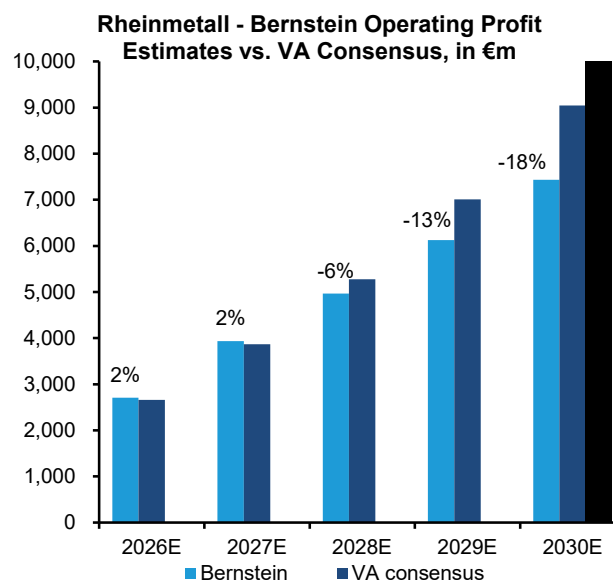
EXHIBIT 10: Our stance on short-cycle products puts us below consensus on sales...



Indicative percentage of the difference between Bernstein's estimates and VA consensus

Source: Company reports, VA consensus, Bernstein analysis and estimates

EXHIBIT 11: ...and operating profits



Indicative percentage of the difference between Bernstein's estimates and VA consensus

Source: Company reports, VA consensus, Bernstein analysis and estimates

EXHIBIT 12: Rheinmetall: Q2'26 preview

Rheinmetall, in €m	Q2'25 Reported	Q2'26 Consensus	Q2'26 Bernstein	Bernstein vs. Cons
<u>Sales</u>				
Vehicle Systems	945	1,276	1,380	8.1%
Weapon & Ammunition	724	1,151	1,134	-1.4%
Electronic Solutions	517	714	690	-3.4%
Naval	0	352	346	-1.8%
Others/consolidation	-237		-426	
Group	1,949	3,155	3,124	-1.0%
<u>Operating income</u>				
Vehicle Systems	97	131	154	18.1%
Weapon & Ammunition	164	270	270	0.2%
Electronic Solutions	44	80	74	-7.1%
Naval	0	37	37	0.6%
Others/consolidation	-44		-21	
Group	261	472	514	9.0%
EBIT		398	486	22.2%
Diluted EPS		6.30	6.55	3.9%
FCF		-91	291	
<u>Sales growth</u>				
Vehicle Systems		35.1%	46.0%	1093bp
Weapon & Ammunition		59.0%	56.7%	-227bp
Electronic Solutions		38.2%	33.4%	-473bp
Group		61.9%	60.3%	-160bp
<u>Operating margins</u>				
Vehicle Systems	10.3%	10.2%	11.2%	95bp
Weapon & Ammunition	22.7%	23.4%	23.8%	39bp
Electronic Solutions	8.5%	11.1%	10.7%	-42bp
Naval		10.5%	10.7%	25bp
Group	13.4%	15.0%	16.5%	151bp

Source: Company reports, VA consensus, Bernstein analysis and estimates

EXHIBIT 13: **Rheinmetall: 2026 guidance vs. Consensus vs. Bernstein estimates**

2026 guidance	Pre-close call Guidance	FY25	Guidance top-end	Consensus	Bernstein	Consensus vs. Guidance top-end	Bernstein
Revenue							
Weapon & Ammunition	€3-5bn	€4.9-5bn	€5.0bn	€5.0bn	€4.9bn	-0.6%	-2.4%
Vehicle Systems	Up to €6bn	€5.9-6bn	€6.0bn	€6.1bn	€5.9bn	0.9%	-1.0%
Electronic Solutions	€3bn	€3.1-3.3bn	€3.3bn	€3.5bn	€3.3bn	4.7%	1.3%
Air Defense	€1bn	€0.9-1.0bn	€1.0bn	€1.0bn	€1.1bn	2.3%	7.7%
Digital Systems	€2bn	€2.2-2.3bn	€2.3bn	€2.3bn	€2.3bn	-0.7%	-0.2%
NVL	€1.3-1.5bn	€1.3-1.5bn	€1.5bn	€1.4bn	€1.4bn	-5.3%	-10.0%
Group (post consolidation)	€13-14bn	€14-14.5bn	€14.5bn	€14.3bn	€13.7bn	-1.4%	-5.9%
Operating margin							
Weapon & Ammunition		29-30%	30%	29.4%	29.8%	-59bps	-17bps
Vehicle Systems		12-13%	13%	12.6%	12.2%	-38bps	-82bps
Electronic Solutions			14%	14.3%	14.7%	16bps	59bps
Air Defense		~19%	19%	18.8%	19.0%	-19bps	0bps
Digital Systems		~12%	12%	12.5%	12.5%	48bps	50bps
NVL		11-13%	13%	11.6%	11.0%	-138bps	-200bps
Group		~19%	19%	19.1%	19.8%	5bps	83bps
Cash conversion rate							
(OCF to operating result)		>40%	40%	102.9%	111.3%	6289bps	7127bps

Source: Company reports, VA consensus, Bernstein analysis and estimates

BAE SYSTEMS (30 JULY)

All about the US budget. BAE Systems derives 45% of sales from the US, and is in a particularly strong position to benefit from the growth in the 2027 US budget. The budget proposal of \$1.45tn, combining discretionary appropriations and reconciliation funding, is a record increase. We do not expect such a budget to make it through Congress. But, even if only the “base” 2027 budget was approved, it would imply strong growth (\$1.15tn vs. \$0.9tn in 2026, +22%). The investment account (addressable market) should grow by a significantly higher rate. We see this as the key catalyst for BAE Systems, after what we expect to be a soft set of H1'26 results (details division by division below).

Space, missiles, air defense. We continue to see exposure to space, missiles, and missile defense as particularly attractive. BAE Systems might not be the best exposed to capture these opportunities, but will participate. It is also exposed to some less “hot” areas, which are seeing solid funding (ship repair, land vehicles). In such a supportive environment, we believe that all players will benefit from large order intake and therefore improved growth for the coming years.

Slow but steady. BAE System's diversification (segments, countries) implies that growth should be slower than some of the pure-plays European companies. We are slightly above consensus for the coming years (+3% above on average until 2028) and see the stock as well positioned to benefit from its resilient and higher-quality profile. Especially in a difficult European Defense environment. We believe order intake in the Middle East and the US will support performance, but start flowing later in the year. We believe BAE Systems will remain a compounder in the long-term. But we maintain our Market-Perform as we struggle to see a clear catalyst for earnings upgrades outside the US budget.

Air (30% of group sales, 33% of EBIT)

Air is guided to deliver **9-11% sales growth and 12% operating margins in 2026**, with management indicating performance is likely to trend towards the upper end of both guides. The division continues to benefit from strong demand across combat air programs, with no meaningful change in underlying trends expected. While MBDA delivered exceptionally strong growth in 2025, its growth rate is expected to moderate into the single digits in 2026 due to delivery timing and a less favourable mix. Capacity expansion remains supportive for the medium-term outlook, although the benefits are likely to materialise only gradually.

Electronic Systems (25% of group sales, 35% of EBIT)

Electronic Systems is guided to deliver **6-8% sales growth and 15% operating margins in 2026**. Growth is expected to track towards the lower end of the range in the first half before improving through the year as previously won contracts convert into revenue. Margin progression should follow a similar pattern. Within the portfolio, SMS (the Ball Aerospace acquisition) is expected to see improving performance, supported by a somewhat better US civil space funding environment and healthy

demand from Space Defense customers, helping growth move closer to management's medium-term target of around 10%.

Platforms & Services (16% of group sales, 17% of EBIT)

Platforms & Services is guided to deliver **9-11% sales growth and 11-12% operating margins in 2026**. Demand continues to be supported by a strong outlook for combat vehicle programs in Europe and, more recently, increased production rates in the US. While the recent US production tailwind is expected to moderate over time, European demand remains robust, providing a strong underpinning for growth. As a result, we expect the division to outperform guidance, with revenues growing ahead of the company's targeted range.

Maritime (22% of group sales, 14% of EBIT)

Maritime is guided to deliver **5-7% sales growth and 7-8% operating margins in 2026**. Profitability is expected to remain under pressure from the first-of-class build phase on the Type 26 frigate program, with margins likely to trend below or at the lower end of guidance and potentially remain softer in the first half of the year. As the program moves into more advanced testing and validation phases, execution risk should gradually reduce and profitability improve, although the recovery is likely to be measured and spread over the next two to three years.

Cyber & Intelligence (8% of group sales, 7% of EBIT)

Cyber & Intelligence is guided to deliver **5-7% sales growth and 8-9% operating margins in 2026**. The business is expected to recover progressively from the impact of DOGE-related spending cuts experienced in 2025, supported by an improving US consultancy and services environment. In the UK, funding delays and political uncertainty continue to weigh on program activity, suggesting a softer start to the year. However, trends should strengthen as the year progresses, allowing the division to move closer to its full-year guidance range.

EXHIBIT 14: **BAE Systems: H1'26 preview**

BAE Systems	H1'25 Reported	H1'26 Consensus	H1'26 Bernstein	Bernstein vs. Cons
<u>Sales</u>				
Electronic Systems	3,599	3,790	3,823	0.9%
Platforms & Services	2,478	2,661	2,713	1.9%
Air	4,343	4,765	4,781	0.3%
Maritime	3,233	3,428	3,510	2.4%
Cyber & Intelligence	1,186	1,221	1,184	-3.1%
HQ and Other	98		103	
Intra-business group sales	-316		-316	
Group	14,621	15,648	15,796	0.9%
<u>Underlying EBIT</u>				
Electronic Systems	541	578	591	2.3%
Platforms & Services	292	310	319	2.7%
Air	500	551	576	4.7%
Maritime	220	253	256	1.0%
Cyber & Intelligence	96	100	111	10.4%
HQ and Other	-99		-102	
Group	1,550	1,706	1,751	2.6%
Basic EPS	32.3	34.5	34.3	-0.7%
FCF	-368	24	-681	
<u>Sales growth</u>				
Electronic Systems		5.3%	6.2%	90bps
Platforms & Services		7.4%	9.5%	208bps
Air		9.7%	10.1%	37bps
Maritime		6.0%	8.6%	252bps
Cyber & Intelligence		3.0%	-0.2%	-316bps
Total sales		7.0%	8.0%	101bps
<u>EBIT margins</u>				
Electronic Systems	15.0%	15.2%	15.5%	21bps
Platforms & Services	11.8%	11.7%	11.7%	8bps
Air	11.5%	11.6%	12.1%	50bps
Maritime	6.8%	7.4%	7.3%	-10bps
Cyber & Intelligence	8.1%	8.2%	9.4%	114bps
Total EBIT	10.6%	10.9%	11.1%	18bps

Source: Company reports, VA consensus, Bernstein analysis and estimates

EXHIBIT 15: **2026 guidance vs. Consensus vs. Bernstein**

BAE Systems 2026 guidance	Guidance	Guidance mid-point	Consensus	Bernstein	Consensus vs. Guidance mid-point	Bernstein
Sales growth						
Electronic Systems	+6-8%	7.0%	7.2%	7.9%	17bps	92bps
Platforms & Services	+9-11%	10.0%	9.7%	11.2%	-25bps	122bps
Air	+9-11%	10.0%	9.4%	9.2%	-62bps	-79bps
Maritime	+5-7%	6.0%	6.2%	8.6%	20bps	256bps
Cyber & Intelligence	+5-7%	6.0%	4.9%	3.3%	-109bps	-267bps
Group	+7-9%	8.0%	7.9%	8.8%	-7bps	78bps
Underlying EBIT margin						
Electronic Systems	c.15%	15.0%	15.5%	15.5%	55bps	46bps
Platforms & Services	11-12%	11.5%	11.7%	11.7%	17bps	24bps
Air	c.12%	12.0%	12.0%	11.9%	-1bps	-15bps
Maritime	7-8%	7.5%	7.5%	7.3%	2bps	-21bps
Cyber & Intelligence	8-9%	8.5%	8.8%	9.4%	26bps	87bps
Group level						
Group underlying EBIT growth	+9-11%	10.0%	10.4%	10.9%	41bps	88bps
Underlying EPS growth	+9-11%	10.0%	11.1%	13.7%	113bps	366bps
FCF	>£1.3bn	£1.3bn	£1.9bn	£2.3bn	45.3%	75.8%

Source: Company reports, VA consensus, Bernstein analysis and estimates

DASSAULT AVIATION (22 JULY)

No fireworks. Last year Dassault Aviation published disappointing results, missing on profits (partly due to a messy consensus). The miss was driven by disappointing Falcon deliveries, an unfavorable margin mix and the French surtax impact. The group was also impacted by the tariff environment in order intake for Falcon (large customer base in the US but costs in Europe). We do not expect a particularly strong set of results in H1'26 and would not disagree with a cautious stance into the event. However, we expect the company to have managed expectations ahead of the results (details by division below).

The key catalyst is the Rafale order confirmation. We believe the next important milestone is the confirmation of the Rafale order from India, and more details about the financials and the timeline. We expect the contract to be signed by the end of 2026, which is also in line with some of the suppliers' indications.

Long-term resilience and growth. Dassault Aviation's rich backlog (220 Rafale, going to over 300 including the Indian order) should provide unmatched visibility until the end of the decade. We see Dassault Aviation as a clear growth story, and expect the group to announce more capacity increases (going to cadence 6) later. Dassault Aviation is also relatively cheap, once the Thales stake and the cash positions are excluded from the valuation. But similarly to BAE Systems, we do not see what would be a clear catalyst in the near future, as order intake should have limited impact on the stock given the size of the existing backlog. The selective financial communication and the limited size of the float also reduce possibilities for large investors. The recent FCAS developments are a long-term positive, in our view, but could have some impact on funding. We wonder if that could imply Airbus selling their stake in Dassault Aviation, which we would view as a long-term positive too (larger float).

Rafale (63% of sales) – 28 deliveries guidance

Dassault is guiding for 28 Rafale deliveries in 2026, and we expect deliveries to be weighted toward the second half of the year, consistent with prior years. We forecast 10 Rafale deliveries in H1 (36% of full-year guidance), with deliveries remaining heavily export-focused at 8 export aircraft and 2 aircraft for France. Beyond deliveries, investor attention is likely to remain on the potential 114-aircraft Indian Rafale order, where negotiations appear to be progressing and could become an important catalyst in the coming months.

Falcon (37% of sales) – 40 deliveries guidance

Dassault is guiding for 40 Falcon deliveries in 2026, with deliveries again expected to be heavily back-end loaded. Based on available delivery data, we forecast 15 Falcon deliveries in H1 (38% of full-year guidance). While the pace of deliveries early in the year appears somewhat slow, we expect underlying performance to improve versus 2025, when tariff-related disruptions negatively affected deliveries and orders. We also expect order intake to strengthen meaningfully versus H1 2025, supported by a more favorable demand environment and the stronger momentum seen in H2 2025.

Dassault has guided to €8.5bn of revenue in 2026, while we forecast €9.4bn. (Consensus can be low-quality for Dassault Aviation)

EXHIBIT 16: **Dassault Aviation: H1'26 preview**

Dassault Aviation, in €m	H1'25 Reported	H1'26 Consensus	H1'26 Bernstein	Bernstein vs. Consensus
<u>Adj. net sales</u>				
Defense	1,751	2,152	2,305	7.2%
Defense Export	949	1,441	1,516	5.2%
Defense France	802	633	789	24.7%
Falcon	1,103	1,096	1,309	19.4%
Group	2,854	2,979	3,614	21.3%
Adj. operating income	180	226	261	15.4%
Adj. EPS	4.94	5.91	5.94	0.4%
<u>Adj. sales growth</u>				
Defense		22.9%	31.7%	879bps
Defense Export		51.88%	59.80%	791bps
Defense France		-21.08%	-1.62%	1946bps
Falcon		-0.6%	18.7%	1931bps
Group		4.4%	26.7%	2226bps
Adj. operating margin	6.3%	7.6%	7.2%	-37bps

Source: Company reports, Bloomberg, Bernstein analysis and estimates

EXHIBIT 17: **Dassault Aviation: 2026 guidance vs. Consensus vs. Bernstein**

2026 guidance	Guidance	Guidance midpoint	Consensus	Bernstein	Consensus vs. Guidance	Bernstein mid-point
Sales	€8.5bn	€8.5bn	€8.7bn	€9.4bn	2.1%	10.2%
Rafale deliveries	28	28	28	31	0	+3
Falcon deliveries	40	40	40	39	0	-1

Source: Company reports, VA consensus, Bernstein analysis and estimates

APPENDIX - FINANCIAL FORECASTS

BAE SYSTEMS

EXHIBIT 18: BAE Systems: Income statement

Income statement (£m)	2021	2022	2023	2024	2025	2026E	2027E	2028E	2029E	2030E
Sales										
Electronic Systems	4,491	5,057	5,458	7,189	7,528	8,124	9,051	10,087	11,242	12,041
Platforms & Services	3,395	3,688	3,922	4,390	5,039	5,604	6,116	6,642	7,197	7,811
Air	8,321	7,698	8,058	8,519	9,299	10,155	11,010	11,710	12,481	13,331
Maritime	3,416	4,598	5,536	6,187	6,797	7,379	7,848	8,335	8,859	9,422
Cyber & Intelligence	1,752	2,205	2,321	2,411	2,397	2,477	2,584	2,696	2,813	2,935
HQ and Other	307	420	471	203	232	244	256	269	282	296
Intra-business group sales	-372	-410	-482	-564	-630	-630	-630	-630	-630	-630
Total sales	21,310	23,256	25,284	28,335	30,662	33,353	36,235	39,108	42,244	45,207
Underlying EBIT										
Electronic Systems	766	838	878	1,071	1,162	1,256	1,404	1,569	1,754	1,884
Cyber & Intelligence	156	232	199	199	223	232	244	256	269	283
Platforms & Services	259	326	354	448	576	658	728	802	881	969
Air	856	849	949	1,007	1,108	1,204	1,313	1,388	1,470	1,560
Maritime	288	356	425	474	457	538	587	634	684	731
HQ and Other	-120	-122	-123	-184	-204	-204	-204	-204	-204	-204
Total underlying EBIT	2,205	2,479	2,682	3,015	3,322	3,684	4,071	4,445	4,854	5,223
Operating profit	2,389	2,384	2,573	2,685	2,925	3,255	3,646	4,023	4,436	4,808
Net financial expenses	-279	-395	-247	-353	-353	-367	-358	-365	-369	-374
Taxes	-198	-315	-386	-291	-421	-635	-658	-732	-813	-887
Non-controlling interests	-154	-83	-83	-85	-89	-80	-80	-80	-80	-80
Underlying earnings	1,758	1,591	1,857	1,956	2,062	2,173	2,550	2,846	3,173	3,467
Attributable to shareholders	1,523	1,728	1,916	2,065	2,253	2,541	2,907	3,199	3,520	3,808
Basic shares outstanding	3,187	3,112	3,031	3,015	2,996	2,974	2,961	2,950	2,939	2,929
Diluted shares outstanding	3,211	3,153	3,072	3,053	3,031	3,015	3,002	2,991	2,980	2,970
EPS (underlying, GBp)	47.8	55.6	63.2	68.5	75.2	85.5	98.6	109.3	121.0	131.8
Dividend per share (GBp)	25.1	27.0	30.0	33.0	36.3	41.3	47.6	52.7	58.4	63.6
Operating currency sales growth, adjusted for segment reclassification										
Electronic Systems (\$)	5.6%	1.1%	8.6%	35.4%	8.1%	9.6%	11.4%	11.4%	11.5%	7.1%
Platforms & Services (\$)	3.9%	-2.4%	7.0%	15.0%	18.4%	13.0%	9.1%	8.6%	8.4%	8.5%
Air (£)	5.2%	3.3%	4.7%	5.7%	9.2%	9.2%	8.4%	6.4%	6.6%	6.8%
Maritime (£)	4.9%	10.3%	20.4%	11.8%	9.9%	8.6%	6.4%	6.2%	6.3%	6.4%
Cyber & Intelligence (\$)	3.7%	3.0%	6.0%	6.8%	2.6%	5.0%	4.3%	4.3%	4.3%	4.3%
Total constant currency growth	5.0%	4.4%	9.0%	14.0%	10.0%	9.5%	8.6%	7.9%	8.0%	7.0%
Total reported growth (£)	2.1%	9.1%	8.7%	12.1%	8.2%	8.8%	8.6%	7.9%	8.0%	7.0%
Underlying EBIT margins										
Electronic Systems	17.1%	16.6%	16.1%	14.9%	15.4%	15.5%	15.5%	15.6%	15.6%	15.6%
Platforms & Services	7.6%	8.8%	9.0%	10.2%	11.4%	11.7%	11.9%	12.1%	12.2%	12.4%
Air	10.3%	11.0%	11.8%	11.8%	11.9%	11.9%	11.9%	11.9%	11.8%	11.7%
Maritime	8.4%	7.7%	7.7%	7.7%	6.7%	7.3%	7.5%	7.6%	7.7%	7.8%
Cyber & Intelligence	8.9%	10.5%	8.6%	8.3%	9.3%	9.4%	9.4%	9.5%	9.6%	9.6%
Total EBIT margins	10.3%	10.7%	10.6%	10.6%	10.8%	11.0%	11.2%	11.4%	11.5%	11.6%

Source: Company reports, Bernstein analysis and estimates

EXHIBIT 19: **BAE Systems: Balance sheet & Cash flow statement**

Balance sheet (£m)	2021	2022	2023	2024	2025	2026E	2027E	2028E	2029E	2030E
Cash and cash equivalents	2,917	3,107	4,067	3,378	3,438	3,517	4,426	5,440	6,557	7,669
Trade, other and contract receivables	4,825	6,166	6,185	6,663	6,959	7,653	8,409	9,185	10,040	10,861
Inventories	811	976	1,156	1,324	1,384	1,487	1,585	1,673	1,768	1,852
Other	265	385	365	388	366	366	366	366	366	366
Total current assets	8,818	10,634	11,773	11,753	12,147	13,023	14,786	16,664	18,730	20,747
Property, plant, and equipment	2,852	3,235	3,635	4,843	5,160	5,424	5,777	6,129	6,571	7,097
Equity accounted investments	554	787	832	823	698	777	862	952	1,047	1,149
Intangible assets	11,716	12,644	12,099	16,262	15,245	15,029	14,816	14,607	14,400	14,197
Other	3,195	4,162	3,725	4,461	4,429	4,695	4,969	5,243	5,525	5,801
Total assets	27,135	31,462	32,064	38,142	37,679	38,949	41,210	43,594	46,273	48,991
Trade and other payables	7,510	8,872	9,301	10,887	11,506	12,289	13,225	14,163	15,180	16,120
Other	1,186	974	1,642	1,455	797	797	797	797	797	797
Total current liabilities	8,696	9,846	10,943	12,342	12,303	13,086	14,022	14,960	15,977	16,917
Loans	4,604	5,189	4,432	7,713	7,190	6,690	6,690	6,690	6,690	6,690
Retirement benefit obligations	2,607	651	575	503	406	375	344	314	283	252
Other non-current liabilities	3,560	4,376	5,391	5,807	5,843	6,087	6,386	6,686	7,012	7,313
Total Liabilities	19,467	20,062	21,341	26,365	25,742	26,238	27,443	28,650	29,962	31,172
Total shareholders' equity	7,668	11,400	10,723	11,777	11,937	12,711	13,767	14,944	16,311	17,819
Total liabilities + shareholders' equity	27,135	31,462	32,064	38,142	37,679	38,949	41,210	43,594	46,273	48,991

Cash flow statement (£m)	2021	2022	2023	2024	2025	2026E	2027E	2028E	2029E	2030E
Profit/loss for the period	1,912	1,674	1,940	2,041	2,151	2,253	2,630	2,926	3,253	3,547
Share of results of equity accounted investments	-139	-180	-208	-213	-194	-206	-222	-235	-251	-268
Net finance costs	279	395	247	353	353	367	358	365	369	374
Depreciation, amortisation, and impairment	720	767	787	1,097	1,173	1,160	1,154	1,149	1,143	1,138
Cost of equity-settled employee share schemes	92	101	110	144	174	171	183	187	194	199
Movements in provisions	-66	-54	0	24	16	0	0	0	0	0
Increase in liabilities retirement benefit obligations	-18	1	-169	-249	-50	-31	-31	-31	-31	-31
Working capital change	49	323	1,125	745	-345	144	289	281	292	241
Other	-382	-188	-72	-17	154	0	0	0	0	0
Cash flow from operating activities	2,447	2,839	3,760	3,925	3,432	3,858	4,363	4,642	4,970	5,200
Purchases of PPE	-366	-442	-677	-837	-798	-1,023	-1,112	-1,111	-1,201	-1,286
Purchases of intangible assets	-96	-94	-131	-173	-183	-185	-183	-180	-178	-175
Dividends received from EAI	57	94	134	158	299	127	137	146	155	166
Other, incl. acquisitions	471	20	133	-4,417	141	6	6	6	6	6
Cash flow from investing activities	66	-422	-541	-5,269	-541	-1,075	-1,152	-1,139	-1,218	-1,289
Capital element of finance lease payments	-217	-236	-292	-190	-187	-187	-187	-187	-187	-187
Interest paid	-247	-269	-356	-543	-512	-367	-358	-365	-369	-374
Purchases of own shares	-368	-788	-561	-555	-502	-533	-500	-500	-500	-500
Equity dividends paid	-777	-802	-857	-937	-1,027	-1,117	-1,257	-1,436	-1,580	-1,737
Net cash inflow from loans	-445	-72	-34	-37	-460	-500	0	0	0	0
Other	-202	-166	-88	-89	-86	0	0	0	0	0
Cash flow from financing activities	-2,256	-2,333	-2,188	-2,351	-2,774	-2,704	-2,302	-2,488	-2,636	-2,799
Cash flow from operating, investing, financing activities	257	84	1,031	-3,695	117	79	909	1,014	1,117	1,112
FX effect on cash and cash equivalents	-7	106	-71	-40	-57	0	0	0	0	0
Change in cash equivalents	250	190	960	-3,735	60	79	909	1,014	1,117	1,112
Free Cash Flow	1,864	1,950	2,593	2,505	2,158	2,286	2,721	3,006	3,253	3,407
FCF conversion	122%	113%	135%	121%	96%	90%	94%	94%	92%	89%

Source: Company reports, Bernstein analysis and estimates

RHEINMETALL

EXHIBIT 20: Rheinmetall: Income statement

Income statement, (€m)	2021	2022	2023	2024	2025	2026E	2027E	2028E	2029E	2030E
Vehicle Systems	1,883	2,270	2,609	3,790	4,992	5,938	7,412	8,968	10,709	12,790
Weapon & Ammunition	1,233	1,359	1,756	2,783	3,532	4,882	6,745	8,356	10,110	11,513
Electronic Solutions	932	1,164	1,318	1,726	2,504	3,341	5,117	6,702	8,418	10,102
Naval	0	0	0	0	0	1,351	1,692	2,130	2,693	3,416
Sensors & Actuators	1,315	1,382	1,421	0	0	0	0	0	0	0
Material & Trade	651	742	737	0	0	0	0	0	0	0
Power Systems	0	0	2,084	0	0	0	0	0	0	0
Others/consolidation	-356	-506	-591	-585	-1,093	-1,861	-2,097	-2,354	-2,235	-2,269
Sales	5,658	6,410	7,176	7,715	9,935	13,651	18,870	23,803	29,695	35,552
EBITDA	862	988	1,205	1,673	2,185	3,080	4,408	5,539	6,799	8,222
Vehicle Systems	174	261	324	425	583	723	940	1,182	1,465	1,813
Weapon & Ammunition	218	297	403	790	1,037	1,456	2,050	2,524	3,039	3,439
Electronic Solutions	99	121	150	217	366	492	791	1,059	1,359	1,836
Naval	0	0	0	0	0	149	192	248	323	421
Sensors & Actuators	103	95	69	0	0	0	0	0	0	0
Material & Trade	51	66	66	0	0	0	0	0	0	0
Power Systems	0	0	133	0	0	0	0	0	0	0
Others/consolidation	-49	-72	-93	-43	-144	-113	-40	-50	-62	-75
Total operating profit	596	768	917	1,389	1,841	2,707	3,933	4,964	6,123	7,435
Special items	14	-21	50	6	10	0	0	0	0	0
PPA effects	0	-10	-70	-125	-167	-127	-123	-123	-123	-123
EBIT	608	739	897	1,270	1,684	2,580	3,810	4,841	6,000	7,312
Interest income	4	12	29	14	4	21	46	50	41	59
Interest expenses	31	32	111	116	116	106	68	47	27	8
EBT	581	719	815	1,168	1,572	2,496	3,787	4,843	6,015	7,363
Income taxes	-150	-183	-185	-328	-396	-670	-1,023	-1,308	-1,624	-1,988
Earnings from continuing operations	431	536	630	840	1,176	1,825	2,765	3,535	4,391	5,375
Earnings from discontinued operations	-100	6	-44	-32	-341	10	0	0	0	0
Earnings from continuing operations	331	542	586	808	835	1,835	2,765	3,535	4,391	5,375
Non-controlling interests	41	66	51	91	139	170	220	283	351	430
Rheinmetall AG shareholders	291	474	535	717	696	1,665	2,545	3,253	4,039	4,945
Diluted EPS from continuing operations	9.04	10.80	13.02	16.60	22.29	35.48	54.53	69.69	86.55	105.95
Dividend per share (€/share)	3.30	4.30	5.70	8.10	11.50	17.20	25.73	32.55	40.14	48.87
Diluted weighted number of shares	43.28	43.36	46.34	46.66	46.66	46.67	46.67	46.67	46.67	46.67
Revenue growth										
Vehicle Systems	2.0%	20.6%	14.9%	45.3%	31.7%	19.0%	24.8%	21.0%	19.4%	19.4%
Weapon & Ammunition	2.8%	10.2%	29.2%	58.5%	26.9%	38.2%	38.1%	23.9%	21.0%	13.9%
Electronic Solutions	0.1%	24.9%	13.2%	31.0%	45.1%	33.4%	53.1%	31.0%	25.6%	20.0%
Naval							25.3%	25.9%	26.4%	26.9%
Sensors & Actuators	9.4%	5.1%	2.8%							
Material & Trade	21.5%	14.0%	-0.7%							
Others/consolidation	15.2%	42.1%	16.8%	-1.0%	86.8%	70.3%	12.6%	12.3%	-5.1%	1.5%
Group	4.7%	13.3%	12.0%	7.5%	28.8%	37.4%	38.2%	26.1%	24.8%	19.7%
Operating margins										
Vehicle Systems	9.2%	11.5%	12.4%	11.2%	11.7%	12.2%	12.7%	13.2%	13.7%	14.2%
Weapon & Ammunition	17.7%	21.9%	22.9%	28.4%	29.4%	29.8%	30.4%	30.2%	30.1%	29.9%
Electronic Solutions	10.6%	10.4%	11.4%	12.6%	14.6%	14.7%	15.5%	15.8%	16.1%	18.2%
Naval						11.0%	11.3%	11.7%	12.0%	12.3%
Sensors & Actuators	7.8%	6.9%	4.9%							
Material & Trade	7.8%	8.9%	9.0%							
Power Systems			6.4%							
Group operating profit	10.5%	12.0%	12.8%	18.0%	18.5%	19.8%	20.8%	20.9%	20.6%	20.9%

Source: Company reports, Bernstein analysis and estimates

EXHIBIT 21: Rheinmetall: Balance Sheet & Cash Flow Statement

Balance sheet, (€m)	2021	2022	2023	2024	2025	2026E	2027E	2028E	2029E	2030E
Goodwill	481	483	1,125	1,426	1,354	1,552	1,552	1,552	1,552	1,552
Other intangible assets	287	338	952	1,376	1,244	1,447	1,628	1,874	2,196	2,588
Right-of-use assets	214	209	271	334	338	350	362	376	391	408
Property, plant and equipment	1,056	1,137	1,370	1,853	1,962	3,661	4,713	5,594	6,294	6,989
Investment property	30	24	22	20	2	1	0	-1	-2	-3
Others	685	727	876	1,103	970	970	970	970	970	970
Non-current assets	2,753	2,918	4,616	6,112	5,871	7,981	9,225	10,365	11,401	12,504
Inventories	1,651	1,976	3,244	3,989	4,721	6,299	8,200	10,046	12,601	15,073
Contract assets	408	362	516	692	957	1,174	1,616	2,007	2,385	2,895
Trade receivables	1,164	1,548	2,021	1,959	1,907	2,491	3,198	3,958	4,833	5,837
Other current assets	213	242	251	350	384	473	652	832	1,031	1,235
Cash and cash equivalents	1,039	545	850	1,184	1,650	3,039	3,612	3,995	4,417	5,195
Others	507	504	209	57	1,281	1,281	1,281	1,281	1,281	1,281
Current assets	4,982	5,177	7,091	8,231	10,901	14,757	18,559	22,120	26,548	31,517
Total assets	7,735	8,095	11,707	14,344	16,772	22,738	27,785	32,485	37,950	44,020
Share capital	112	112	112	112	118	118	118	118	118	118
Capital reserves	561	566	676	696	1,394	1,394	1,394	1,394	1,394	1,394
Retained earnings	1,755	2,147	2,533	3,247	3,503	4,648	6,392	8,445	10,965	14,037
Treasury shares	-9	-6	-5	-4	-4	-4	-4	-4	-4	-4
Rheinmetall AG shareholders' equity	2,419	2,819	3,316	4,050	5,011	6,156	7,900	9,953	12,473	15,545
Non-controlling interests	203	271	327	414	604	722	862	1,025	1,224	1,467
Equity	2,622	3,090	3,643	4,465	5,614	6,878	8,762	10,977	13,697	17,011
Provisions for pensions and similar obligations	773	484	562	527	278	278	278	278	278	278
Other non-current provisions	210	205	230	285	280	280	280	280	280	280
Non-current financial debts	706	517	1,503	1,871	1,155	1,266	1,091	935	834	893
Other non-current liabilities	45	56	51	58	10	10	10	10	10	10
Deferred taxes	38	78	260	356	363	363	363	363	363	363
Non-current liabilities	1,772	1,340	2,606	3,096	2,086	2,197	2,022	1,866	1,765	1,824
Current financial debts	215	454	410	552	126	23	-106	-338	-546	-917
Contract liabilities	1,111	1,120	2,594	3,866	5,642	9,355	11,830	13,810	15,790	17,770
Trade liabilities	809	931	1,222	1,151	1,186	1,997	2,798	3,522	4,380	5,259
Other current liabilities	196	200	274	288	318	489	680	848	1,064	1,274
Income tax liabilities	87	67	108	118	200	200	200	200	200	200
Others	923	894	851	807	1,599	1,599	1,599	1,599	1,599	1,599
Current liabilities	3,341	3,666	5,459	6,782	9,071	13,663	17,001	19,641	22,488	25,185
Total equity and liabilities	7,735	8,096	11,708	14,344	16,772	22,738	27,785	32,485	37,950	44,020
Cash Flow Statement, (€m)	2021	2022	2023	2024	2025	2026E	2027E	2028E	2029E	2030E
Earnings after taxes	332	540	586	808	835	1,835	2,765	3,535	4,391	5,375
Amortization/depreciation/impairment	254	249	308	403	501	500	598	698	799	911
Changes in working capital	22	-507	-217	407	499	2,227	238	-306	-952	-1,122
Others	82	-109	65	101	453	0	0	0	0	0
Cash flow from operating activities	690	173	743	1,720	2,287	4,562	3,601	3,928	4,238	5,164
Cash outflows for capex	-271	-349	-398	-732	-872	-1,551	-1,767	-1,752	-1,741	-1,906
Cash inflows from the disposal of capex	3	19	2	10	10	0	0	0	0	0
Cash inflows from government grants for investments	0	0	0	35	0	0	0	0	0	0
Others	-194	-203	-779	-484	20	-990	0	0	0	0
Cash flow from investing activities	-462	-533	-1,175	-1,172	-843	-2,541	-1,767	-1,752	-1,741	-1,906
Dividends paid out by Rheinmetall AG	-87	-143	-187	-248	-369	-520	-800	-1,200	-1,519	-1,873
Other profit distributions	-5	-6	-3	-29	-52	-52	-80	-120	-152	-187
Net change in other financial debts	-109	17	-78	20	-514	-59	-381	-472	-404	-419
Cash inflows from the issuance of convertible bonds	0	0	113	0	0	0	0	0	0	0
Cash inflows from the issuance of convertible bonds	0	0	887	0	0	0	0	0	0	0
Others	0	1	14	22	75	0	0	0	0	0
Cash flow from financing activities	-201	-131	746	-235	-861	-632	-1,261	-1,793	-2,075	-2,480
Changes in cash and cash equivalents	27	-491	314	313	583	1,389	573	383	422	778
Changes in cash and cash equivalents due to exchange rates	4	1	-9	-2	-10	0	0	0	0	0
Total change in cash and cash equivalents	31	-490	305	312	574	1,389	573	383	422	778
Opening cash and cash equivalents January 1	1,027	1,058	568	873	1,184	1,650	3,039	3,612	3,995	4,417
Closing cash and cash equivalents December 31	1,058	568	873	1,184	1,758	3,039	3,612	3,995	4,417	5,195
Closing cash and cash equivalents December 31 from discontinued operations	19	23	23	0	108	0	0	0	0	0
FCF	419	-176	345	1,056	1,218	3,011	1,835	2,176	2,497	3,257
FCF conversion	70.3%	-22.9%	37.6%	76.0%	66.2%	111.2%	46.7%	43.8%	40.8%	43.8%

Source: Company reports, Bernstein analysis and estimates

THALES

EXHIBIT 22: Thales: Income statement

Income statement (€m)	2021	2022	2023	2024	2025	2026E	2027E	2028E	2029E	2030E
Aerospace	4,463	4,705	5,211	5,471	5,910	6,413	6,829	7,205	7,557	7,926
Defence & Security	8,633	9,154	9,796	10,969	12,234	13,763	15,002	16,352	17,824	19,428
Digital Security	2,995	3,618	3,347	4,024	3,852	3,948	4,060	4,209	4,435	4,676
Other	101	93	75	113	140	140	140	140	140	140
Total revenues	16,192	17,570	18,429	20,577	22,136	24,264	26,031	27,906	29,957	32,170
Aerospace	202	235	371	391	560	680	776	885	952	1,008
Defence & Security	1,111	1,179	1,251	1,432	1,619	1,848	2,037	2,243	2,468	2,712
Digital Security	358	494	508	585	526	553	589	623	670	720
Naval Group / Other	-22	27	2	10	35	38	54	57	60	63
Total EBIT, adjusted	1,649	1,935	2,132	2,419	2,740	3,119	3,457	3,808	4,149	4,504
Net financial interest	-57	-50	2	-166	-116	-38	-3	36	79	116
Other financial income / expenses	-51	-69	-113	-13	-84	-44	-44	-44	-44	-44
Income tax	-244	-331	-368	-428	-561	-757	-719	-799	-871	-948
Others	63	71	116	89	25	-15	-17	-18	-18	-18
Underlying net income	1,361	1,556	1,768	1,901	2,005	2,266	2,673	2,984	3,294	3,609
Reported basic EPS	5.12	5.29	4.91	6.91	8.15	9.33	11.45	12.91	14.45	15.97
Underlying basic EPS	6.39	7.35	8.48	9.24	9.76	11.03	13.01	14.52	16.03	17.56
Underlying diluted EPS	6.39	7.33	8.45	9.22	9.74	11.01	12.98	14.49	16.00	17.53
Basic sharecount	212.9	211.8	208.5	205.5	205.5	205.5	205.5	205.5	205.5	205.5
Diluted sharecount	213.1	212.3	209.2	206.0	205.9	205.9	205.9	205.9	205.9	205.9
Dividend per share	2.56	2.94	3.40	3.70	3.90	4.41	5.20	5.81	6.41	7.03
<u>Total revenue growth</u>										
Aerospace	5.8%	5.4%	10.8%	5.0%	8.0%	8.5%	6.5%	5.5%	4.9%	4.9%
Defence & Security	6.8%	6.0%	7.0%	12.0%	11.5%	12.5%	9.0%	9.0%	9.0%	9.0%
Digital Identity and Security	0.1%	20.8%	-7.5%	20.2%	-4.3%	2.5%	2.8%	3.7%	5.4%	5.4%
Total revenue growth	-4.7%	8.5%	4.9%	11.7%	7.6%	9.6%	7.3%	7.2%	7.3%	7.4%
<u>Organic growth</u>										
Aerospace	6.1%	2.4%	11.7%	2.9%	8.7%	8.5%	6.5%	5.5%	4.9%	4.9%
Defence & Security	5.7%	3.8%	7.5%	13.3%	12.2%	12.5%	9.0%	9.0%	9.0%	9.0%
Digital Identity and Security	2.0%	14.9%	4.1%	1.4%	-0.9%	2.5%	2.8%	3.7%	5.4%	5.4%
Total organic growth	5.3%	5.5%	7.9%	8.3%	8.8%	9.6%	7.3%	7.2%	7.3%	7.4%
<u>Underlying operating profit margin</u>										
Aerospace	4.5%	5.0%	7.1%	7.2%	9.5%	10.6%	11.4%	12.3%	12.6%	12.7%
Defence & Security	12.9%	12.9%	12.8%	13.1%	13.2%	13.4%	13.6%	13.7%	13.8%	14.0%
Digital Identity and Security	12.0%	13.7%	15.2%	14.5%	13.7%	14.0%	14.5%	14.8%	15.1%	15.4%
Total op. profit margin	10.2%	11.0%	11.6%	11.8%	12.4%	12.9%	13.3%	13.6%	13.8%	14.0%
EBITDA	2,358	2,559	2,367	2,513	3,350	3,694	4,085	4,423	4,781	5,135

Source: Company reports, Bernstein analysis and estimates

EXHIBIT 23: Thales: Balance sheet & Cash flow statement

Balance sheet (€m)	2021	2022	2023	2024	2025	2026E	2027E	2028E	2029E	2030E
Inventories and work in progress	3,336	3,672	4,251	4,936	4,964	5,434	5,822	6,233	6,681	7,165
Construction contracts: assets	2,478	2,411	2,897	3,243	3,535	3,875	4,157	4,456	4,784	5,137
Accounts, notes and other current receivables	5,443	5,810	6,269	7,146	6,846	7,261	7,530	7,793	8,066	8,340
Cash and cash equivalents	5,049	5,100	3,980	4,767	4,447	4,167	4,538	5,025	5,305	5,621
Others	3,398	4,021	4,260	1,204	1,531	1,623	1,699	1,780	1,869	1,964
Total current assets	19,704	21,014	21,657	21,295	21,322	22,360	23,746	25,287	26,705	28,228
Goodwill	5,203	5,470	8,940	8,899	8,531	8,531	8,531	8,531	8,531	8,531
Property, plant & equipment	3,399	3,479	3,596	3,716	3,899	4,216	4,595	5,044	5,570	6,184
Deferred tax assets	949	1,043	1,183	1,367	1,277	1,423	1,553	1,693	1,847	2,016
Others	3,586	3,415	3,410	4,713	4,127	3,932	3,710	3,496	3,295	3,107
Total non-current assets	13,137	13,407	17,129	18,694	17,833	18,103	18,389	18,763	19,243	19,837
Total assets	32,841	34,421	38,786	39,990	39,155	40,463	42,135	44,050	45,948	48,065
Advances received from customers on contracts	7,069	8,314	9,789	11,541	12,384	13,453	14,433	15,472	16,310	17,193
Reserves for contingencies	1,772	1,752	1,727	1,965	1,679	1,792	1,871	1,949	2,033	2,119
Accounts, notes and other current payables	6,067	6,919	7,644	8,333	8,652	9,293	9,765	10,250	10,769	11,314
Short- term loans and borrowings	1,319	1,480	2,713	3,273	2,130	1,430	1,230	1,030	830	630
Others	2,342	2,278	2,352	546	393	359	359	359	359	359
Total current liabilities	18,568	20,743	24,225	25,657	25,239	26,327	27,658	29,061	30,300	31,615
Total non-current liabilities	7,548	6,296	7,592	6,775	5,929	5,160	4,238	3,391	2,547	1,708
Total liabilities	26,116	27,039	31,817	32,432	31,168	31,488	31,895	32,451	32,848	33,323
Total equity	6,725	7,382	6,969	7,558	7,988	8,975	10,239	11,599	13,101	14,743
Total liabilities & shareholder equity	32,841	34,421	38,786	39,990	39,155	40,463	42,135	44,050	45,948	48,065
Cash flow statement (€m)	2021	2022	2023	2024	2025	2026E	2027E	2028E	2029E	2030E
Net income	1,017	1,122	929	932	1,640	1,937	2,374	2,672	2,989	3,301
Depreciation & amortization of PPE & intangible assets	1,063	1,059	1,045	1,155	1,087	1,114	1,125	1,133	1,140	1,145
Change in working capital & reserves for contingencies	776	966	173	26	724	512	521	554	308	313
Others	-149	-122	-635	633	-129	-275	-420	-403	-464	-521
Cash flow from operating activities	2,707	3,025	1,511	2,746	3,322	3,288	3,600	3,957	3,972	4,237
Acquisitions of PPE and intangible assets	-451	-535	-626	-623	-757	-875	-949	-1,027	-1,112	-1,204
Acquisitions of subsidiaries and affiliates, net	-55	-418	-3,579	-1,206	-9	-198	-196	-195	-195	-195
Disposals of subsidiaries and affiliates, net	2	29	152	1,557	-77	0	0	0	0	0
Others	10	-208	-95	244	-67	-171	-142	-151	-165	-178
Cash flow from investing activities	-493	-1,132	-4,147	-28	-910	-1,243	-1,287	-1,373	-1,472	-1,577
Parent company dividend distribution	-417	-563	-634	-708	-781	-824	-942	-1,096	-1,221	-1,345
Issuance / repayment of debt	-1,712	-696	2,746	-997	-1,828	-1,500	-1,000	-1,000	-1,000	-1,000
Purchase of treasury shares, exercise of share options	-27	-351	-491	-275	-45	0	0	0	0	0
Others	-14	-42	-49	-14	-2	0	0	0	0	0
Cash flow from financing activities	-2,169	-1,652	1,572	-1,995	-2,656	-2,324	-1,942	-2,096	-2,221	-2,345
Net increase in cash and cash equivalents	86	245	-1,120	787	-321	-279	371	487	280	315
Cash and cash equivalents at end of year	5,049	5,100	3,980	4,767	4,446	4,167	4,538	5,025	5,305	5,621
Free Cash Flow	2,516	2,527	2,025	2,026	2,577	2,414	2,650	2,929	2,860	3,033
FCF conversion	185%	162%	115%	107%	129%	107%	99%	98%	87%	84%

Source: Company reports, Bernstein analysis and estimates

LEONARDO

EXHIBIT 24: **Leonardo: Income statement**

Income statement (€m)	2021	2022	2023	2024	2025	2026E	2027E	2028E	2029E	2030E
Revenue										
Helicopters	4,157	4,547	4,725	5,249	5,833	6,249	6,614	6,973	7,352	7,751
Defense Electronics & Security	6,944	7,212	6,955	7,583	8,350	10,290	11,498	12,657	13,763	14,866
Cyber & Security Solutions				648	798	918	1,028	1,131	1,221	1,319
Aeronautics					4,238	4,876	5,400	5,846	6,298	6,707
Aircraft	3,268	3,085	2,938	3,166						
Aerostructures	442	475	636	746						
Space				906	1,007	1,118	1,397	1,509	1,600	1,696
Others / elimination	-676	-606	-567	-610	-723	-841	-712	-569	-432	-304
Total revenue	14,135	14,713	15,982	17,592	19,503	22,609	25,225	27,547	29,802	32,034
EBITA										
Helicopters	406	415	422	465	523	579	633	685	740	796
Defense Electronics & Security	703	805	852	970	1,075	1,388	1,600	1,817	2,026	2,244
Cyber & Security Solutions				49	80	101	124	142	159	178
Aeronautics					326	453	492	585	670	743
Aircraft	432	421	419	417						
Aerostructures (incl. ATR)	-227	-189	-151	-151						
Space	62	31	16	31	59	102	150	184	210	237
Others	-253	-265	-269	-311	-311	-327	-343	-360	-378	-397
Total EBITA	1,123	1,218	1,289	1,482	1,752	2,297	2,655	3,053	3,426	3,801
Non-recurring income / (expense)	-101	-114	-110	-147	-202	-61	-80	-80	-80	-80
Restructuring costs	-89	-119	-59	-35	-31	-30	-40	-40	-40	-40
Amortization of intang. assets from combinations	-22	-24	-35	-72	-72	-71	-74	-76	-79	-81
EBIT	911	961	1,085	1,271	1,447	2,135	2,462	2,857	3,228	3,600
Net financial income / (expense)	-158	-213	-214	-196	-137	-176	-160	-144	0	0
Income tax	-167	-51	-129	-289	-315	-469	-553	-651	-775	-864
Net income before extraordinary transactions	586	697	742	786	995	1,491	1,750	2,062	2,453	2,736
Related to discount. ops & extraordinary transactions	0	235	-47	373	339	0	0	0	0	0
Attributable to non-controlling interests	-2	-5	-37	-85	-110	-40	-29	-34	-40	-45
Net income to shareholders of parent co.	585	927	658	1,074	1,224	1,451	1,720	2,028	2,413	2,691
Earnings per share	1.02	1.61	1.14	1.87	2.12	2.51	2.98	3.51	4.18	4.66
Dividend per share	0.14	0.14	0.28	0.52	0.63	0.72	0.82	0.93	1.06	1.21
Average sharecount	575	575	575	576	577	577	577	577	577	577
Revenue growth										
Helicopters	4.7%	9.4%	3.9%	11.1%	11.1%	7.1%	5.8%	5.4%	5.4%	5.4%
Defense Electronics & Security	6.4%	3.9%	-3.6%	9.0%	10.1%	23.2%	11.7%	10.1%	8.7%	8.0%
Cyber & Security Solutions					23.1%	15.0%	12.0%	10.0%	8.0%	8.0%
Aeronautics						15.0%	10.7%	8.3%	7.7%	6.5%
Aircraft	24.1%	-5.6%	-4.8%	7.8%	13.4%					
Aerostructures	-46.0%	7.5%	33.9%	17.3%	-0.1%					
Space					11.1%	11.0%	25.0%	8.0%	6.0%	6.0%
Total revenue growth	5.4%	4.1%	8.6%	10.1%	10.9%	15.9%	11.6%	9.2%	8.2%	7.5%
EBITA margin										
Helicopters	9.8%	9.1%	8.9%	8.9%	9.0%	9.3%	9.6%	9.8%	10.1%	10.3%
Defense Electronics & Security	10.1%	11.2%	12.3%	12.8%	12.9%	13.5%	13.9%	14.4%	14.7%	15.1%
Cyber & Security Solutions				7.6%	10.0%	11.0%	12.0%	12.5%	13.0%	13.5%
Aeronautics					7.7%	9.3%	9.1%	10.0%	10.6%	11.1%
Aircraft	13.2%	13.6%	14.3%	13.2%						
Aerostructures (incl. ATR)	-51.4%	-39.8%	-23.7%	-20.2%						
Space				3.4%	5.9%	9.1%	10.7%	12.2%	13.1%	14.0%
Total EBITA margin	7.9%	8.3%	8.1%	8.4%	9.0%	10.2%	10.5%	11.1%	11.5%	11.9%

Source: Company reports, Bernstein analysis and estimates

EXHIBIT 25: **Leonardo: Balance sheet & Cash flow statement**

Balance sheet (€m)	2021	2022	2023	2024	2025	2026E	2027E	2028E	2029E	2030E
Intangibles, PPE, right of use assets	9,777	10,363	10,717	12,178	12,213	12,799	13,407	14,038	14,694	15,378
Others	3,033	3,580	3,578	3,291	3,205	3,065	3,025	2,985	2,945	2,905
Non-current assets	12,810	13,943	14,295	15,469	15,418	15,864	16,432	17,023	17,639	18,283
Cash and equivalents	2,479	1,511	2,407	2,556	3,238	3,416	3,815	4,409	5,327	6,443
Inventories	5,486	5,338	5,693	6,520	7,028	8,147	9,090	9,954	10,799	11,640
Contract assets	3,748	3,652	3,636	3,886	3,699	4,288	4,784	5,225	5,652	6,076
Trade receivables	3,203	3,338	3,685	3,838	3,893	4,513	5,035	5,499	5,949	6,394
Others	636	763	977	1,114	1,221	1,221	1,221	1,221	1,221	1,221
Current assets	15,552	14,602	16,398	17,914	19,079	21,585	23,945	26,307	28,948	31,774
Non-current assets held for sale	17	37	0	290	12	12	12	12	12	12
Total assets	28,379	28,582	30,693	33,673	34,509	37,461	40,389	43,342	46,599	50,069
Loans and borrowings	4,112	3,531	2,885	2,373	1,896	1,496	1,096	696	296	-104
Others	2,216	2,174	2,248	2,296	2,293	2,293	2,293	2,293	2,293	2,293
Non-current liabilities	6,328	5,705	5,133	4,669	4,189	3,789	3,389	2,989	2,589	2,189
Contract liabilities	7,942	8,015	8,733	9,506	10,149	11,765	13,127	14,335	15,508	16,670
Trade payables	3,372	3,054	3,268	3,763	3,504	4,107	4,709	5,280	5,861	6,460
Loans and borrowings	1,558	1,082	2,044	2,327	2,593	2,593	2,593	2,593	2,593	2,593
Others	2,724	3,015	2,914	3,070	3,334	3,334	3,334	3,334	3,334	3,334
Current liabilities	15,596	15,166	16,959	18,666	19,580	21,799	23,762	25,542	27,296	29,057
Liabilities associated with assets held for sale	0	12	40	138	0	0	0	0	0	0
Total equity	6,455	7,699	8,561	10,200	10,740	11,873	13,238	14,812	16,714	18,823
Total liabilities and equity	28,379	28,582	30,693	33,673	34,509	37,461	40,389	43,342	46,599	50,069
Cash flow statement (€m)	2021	2022	2023	2024	2025	2026E	2027E	2028E	2029E	2030E
Net result	587	932	695	1,159	1,334	1,491	1,750	2,062	2,453	2,736
D&A, financial assets value adj.	525	627	645	777	773	697	730	765	802	842
Share of profits of equity-accounted investees	-138	-142	-148	-121	-148	-178	-203	-235	-260	-286
Change in working capital	-643	-239	-49	-275	-261	-109	2	11	32	51
Others	411	-26	43	1	52	100	0	0	0	0
Cash flows from operating activities	742	1,152	1,186	1,541	1,750	2,001	2,278	2,604	3,028	3,344
Investments in PPE, intangible assets	-615	-762	-782	-895	-1,016	-943	-998	-1,056	-1,119	-1,186
Others	74	-29	520	142	654	-116	-67	-81	-53	-27
Cash flows from investing activities	-541	-791	-262	-753	-362	-1,059	-1,065	-1,137	-1,172	-1,213
Dividends paid	0	-80	-83	-177	-343	-363	-414	-472	-539	-614
Net change in bonds, loans and borrowings	30	-1,322	71	-501	-238	-400	-400	-400	-400	-400
Cash flows generated from financing activities	30	-1,402	-12	-678	-611	-763	-814	-872	-939	-1,014
Effect of FX and other	35	73	-16	39	-95	0	0	0	0	0
Total change in cash and equivalents	266	-968	896	149	682	178	399	594	918	1,116
Free cash flow	209	539	635	826	1,011	1,241	1,513	1,767	2,157	2,430
FCF conversion	23%	56%	59%	65%	70%	58%	61%	62%	67%	68%

Source: Company reports, Bernstein analysis and estimates

DISCLOSURE APPENDIX

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VALUATION METHODOLOGY**BAE Systems PLC**

To value BAE Systems, we estimate its enterprise value 4 years in the future, and apply an EV/EBITDA method, based on assumed multiples relative to the market multiple. We adjust for net debt to arrive at an equity value, discount that to our valuation date, and add the discounted value of cash distributions to shareholders between now and the terminal date, to reach our 12-month targets. For BAE Systems, we use an absolute EV/EBITDA multiple of 13x to get to our price target of £20.50.

Dassault Aviation SA

To value Dassault Aviation, we estimate its enterprise value 4 years in the future, and apply an EV/EBITDA method, based on assumed multiples relative to the market multiple. We adjust for net debt to arrive at an equity value, discount that to our valuation date, and add the discounted value of cash distributions to shareholders between now and the terminal date, to reach our 12-month targets. For Dassault Aviation, we use an absolute EV/EBITDA multiple of 10.3x. We separately value Dassault's 25% stake in Thales through a dividend discount model, with a terminal growth rate of 6% assumed beyond our modeling horizon. We also remove an estimate of over-financing in the computation of Dassault's net cash position. All this gets to our price target of €330.

Leonardo SpA

To value Leonardo, we estimate its enterprise value 4 years in the future, and apply an EV/EBITDA method, based on assumed multiples relative to the market multiple. We adjust for net debt to arrive at an equity value, discount that to our valuation date, and add the discounted value of cash distributions to shareholders between now and the terminal date, to reach our 12-month targets. For Leonardo, we use an absolute EV/EBITDA multiple of 11.7x to get to our price target of €65.

Rheinmetall AG

To value Rheinmetall, we estimate its EBITDA 5 years in the future, and apply an EV/EBITDA method, based on assumed multiples relative to the market multiple and a premium to reflect its competitive positioning. We adjust for net debt to arrive at an equity value, discounted, and add the discounted value of cash distributions to shareholders, to reach our 12-month target. For Rheinmetall, we use an absolute EV/discounted 2029 EBITDA multiple of 13.7x to get to our price target of €1,900.

Thales SA

To value Thales, we estimate its enterprise value 4 years in the future, and apply an EV/EBITDA method, based on assumed multiples relative to the market multiple. We adjust for net debt to arrive at an equity value, discount that to our valuation date, and add the discounted value of cash distributions to shareholders between now and the terminal date, to reach our 12-month targets. For Thales, we use an absolute EV/EBITDA multiple of 13x to get to our price target of €290.

TKMS

To value TKMS, we estimate its EBITDA 5 years in the future, and apply an EV/EBITDA method, based on assumed multiples relative to the market multiple and a premium to reflect its competitive positioning. We adjust for net debt, minorities and provisions to arrive at an equity value, discounted, and add the discounted value of cash distributions to shareholders, to reach our 12-month

target. For TKMS, we use an absolute EV/EBITDA multiple of 11.1x to get to our price target of €76.

RISKS

BAE Systems PLC

Upside risks:

1. More favorable US environment and budgets.
2. Increased UK defense budgets.
3. Order intake boosted by superior portfolio outside the UK.

Downside risks:

1. Negative changes in US, UK, and/or international defense funding levels due to political and fiscal challenges.
2. Negative sentiment on the European defense group, including BAE Systems, if the conflict in Ukraine subsides.
3. Challenges on program execution could hold back growth, margins, and/or cash flow.

Dassault Aviation SA

Upside risks:

1. Continued order intake for Rafale program.
2. Falcon gradual improvement.
3. Margin improvement as Falcon 6X program matures.

Downside risks:

1. FCAS project uncertainty.
2. Softening of business jet demand, inability to ramp up Falcon deliveries due to supply chain challenges.
3. Higher than expected self-funded R&D investment.

Leonardo SpA

Downside risks:

1. Program execution challenges, as well as negative changes in US, European, and international defense funding levels.
2. Inability to realize the financial targets out to 2028.
3. Large transformations that involve expensive acquisitions.

Rheinmetall AG

Downside risks:

1. Potential cease-fire of Ukraine
2. Additional capacity in ammunition and ground vehicles comes to the market while demand shifts to long-cycle products
3. Execution risk as Rheinmetall shifts to a long-cycle portfolio

Thales SA**Downside risks:**

1. Uncertainty in French defense budgets.
2. Slower recovery for commercial telecom satellites.
3. Prolonged Cyber weakness.

TKMS**Upside risks:**

1. Better profitability in key divisions. We see the risk of a positive surprise regarding the divisional profitability, which could highlight the turn around in a business that has been penalized by weak underlying fundamentals historically.
2. Invasion of Ukraine continues and the focus on European defense increases. TKMS should be among the most resilient, given the long cycle nature of the naval business and a significant order backlog.
3. Ongoing technical support for a rare European, long-cycle pure play within European defense.

Downside risks:

1. Further charges linked to legacy contracts which remain for longer.
2. F127 and F126 contracts not awarded to TKMS.
3. Poor operational execution slowing down the turnaround.

RATINGS DEFINITIONS, BENCHMARKS AND DISTRIBUTION**EQUITY RATINGS DEFINITIONS****Bernstein brand**

The Bernstein brand rates stocks based on forecasts of relative performance for the next 12 months versus the S&P 500 for stocks listed on the U.S. and Canadian exchanges, versus the Bloomberg Europe Developed Markets Large and Mid Cap Price Return Index EUR (EDME) for stocks listed on the European exchanges and emerging markets exchanges outside of the Asia Pacific region, versus the Bloomberg Japan Large and Mid Cap Price Return Index USD (JPL) for stocks listed on the Japanese exchanges, and versus the Bloomberg Asia ex-Japan Large and Mid Cap Price Return Index (ASIAX) for stocks listed on the Asian (ex-Japan) exchanges -unless otherwise specified.

The Bernstein brand has three categories of ratings:

- Outperform: Stock will outpace the market index by more than 15 pp
- Market-Perform: Stock will perform in line with the market index to within +/- 15 pp
- Underperform: Stock will trail the performance of the market index by more than 15 pp

Coverage Suspended: Coverage of a company under the Bernstein research brand has been suspended. Ratings and price targets are suspended temporarily, are no longer current, and should therefore not be relied upon.

Not Rated: A rating assigned when the stock cannot be accurately valued, or the performance of the company accurately predicted, at the present time. The covering analyst may continue to publish research reports on the company to update investors on events and developments.

Not Covered (NC) denotes companies that are not under coverage.

Bernstein brand stock ratings are based on a 12-month time horizon.

Autonomous brand – common stocks

The Autonomous brand rates common stocks as indicated below. As our benchmarks we use the Bloomberg Europe 500 Banks And Financial Services Index (BEBANKS) and Bloomberg Europe Dev Mkt Financials Large and Mid Cap Price Ret Index EUR (EDMFI) index for developed European banks and Payments, the Bloomberg Europe 500 Insurance Index (BEINSUR) for European insurers, the S&P 500 and S&P Financials for US banks and Payments coverage, S5LIFE for US Insurance, the S&P Insurance Select Industry (SPSIINS) for US Non-Life Insurers coverage, and the Bloomberg Emerging Markets Financials Large, Mid and Small Cap Price Return Index (EMLSF) for emerging market banks and insurers and Payments. Ratings are stated relative to the sector (not the market).

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- Neutral (N): Stock will perform in line with the market index to within +/- 10 pp
- Underperform (UP): Stock will trail the performance of the relevant index by more than 10 pp

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Those denoted as 'Feature' (e.g., Feature Outperform FOP, Feature Under Outperform FUP) are our core ideas.

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- Credit Outperform (C-OP): The total return of the Reference Credit Instrument is expected to outperform the credit spread of bonds of other issuers operating in similar sectors or rating categories over the next six months.

- **Credit Neutral (C-N):** The total return of the Reference Credit Instrument is expected to perform in line with the credit spread of bonds of other issuers operating in similar sectors or rating categories over the next six months.
- **Credit Underperform (C-UP):** The total return of the Reference Credit Instrument is expected to underperform the credit spread of bonds of other issuers operating in similar sectors or rating categories over the next six months.

Autonomous credit ratings are based on a 6-month time horizon.

A list of all investment recommendations produced by the author(s) of this report alongside credit ratings history are available upon request.

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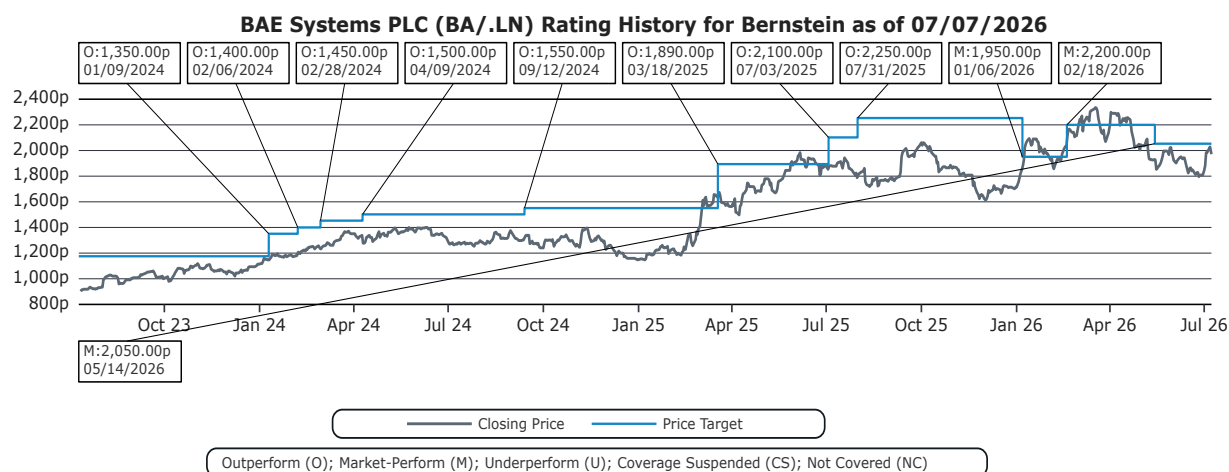
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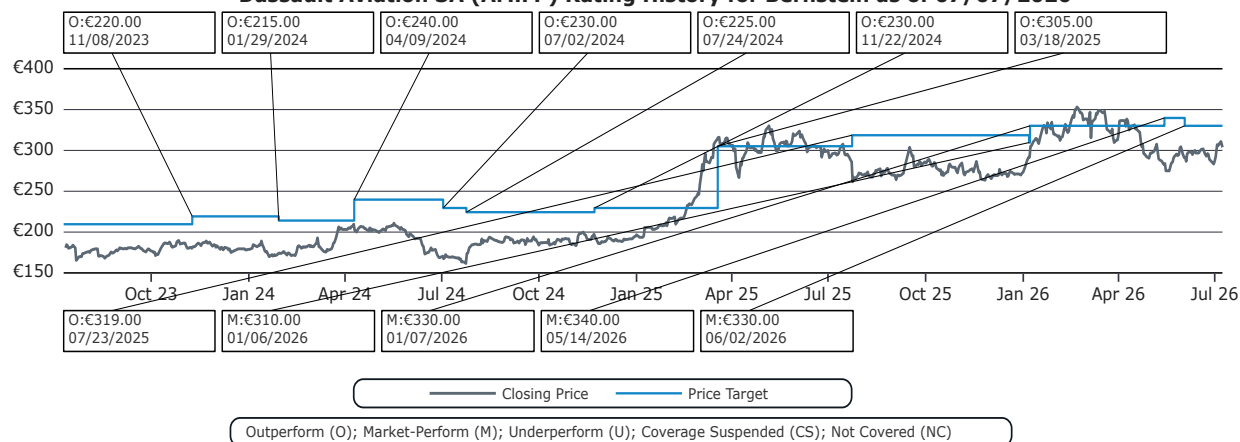
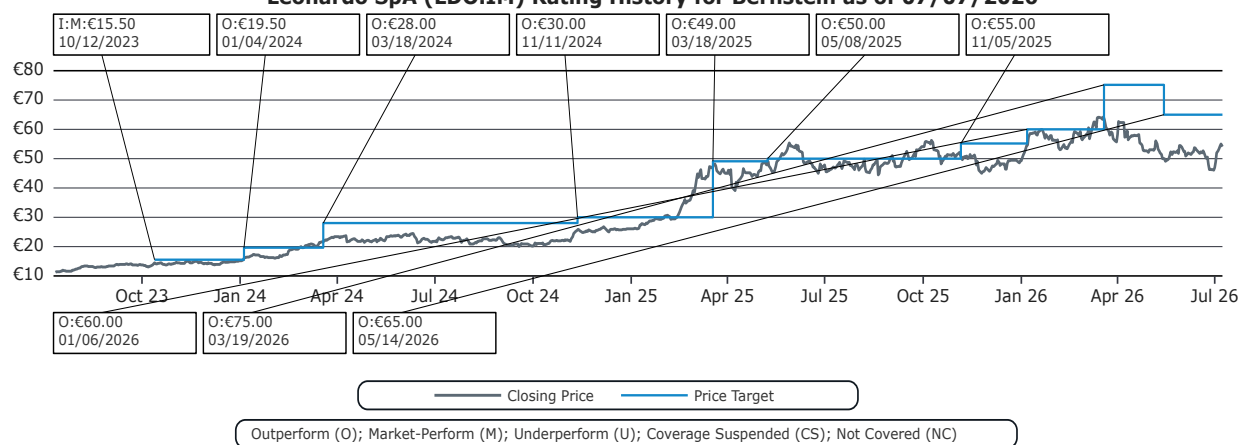
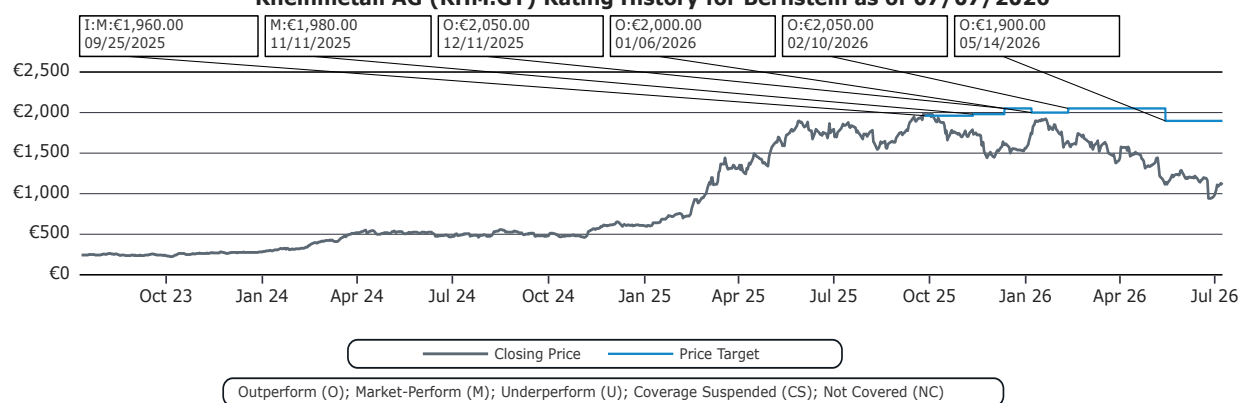
Equity Rating	Market Abuse Regulation (MAR) and FINRA Rating Category	Global Rating Distribution	Investment Banking Relationships*
Outperform	BUY	51.2%	15.3%
Market-Perform (Bernstein Brand) Neutral (Autonomous Brand)	HOLD	35.8%	16.2%
Underperform	SELL	13.1%	13.6%

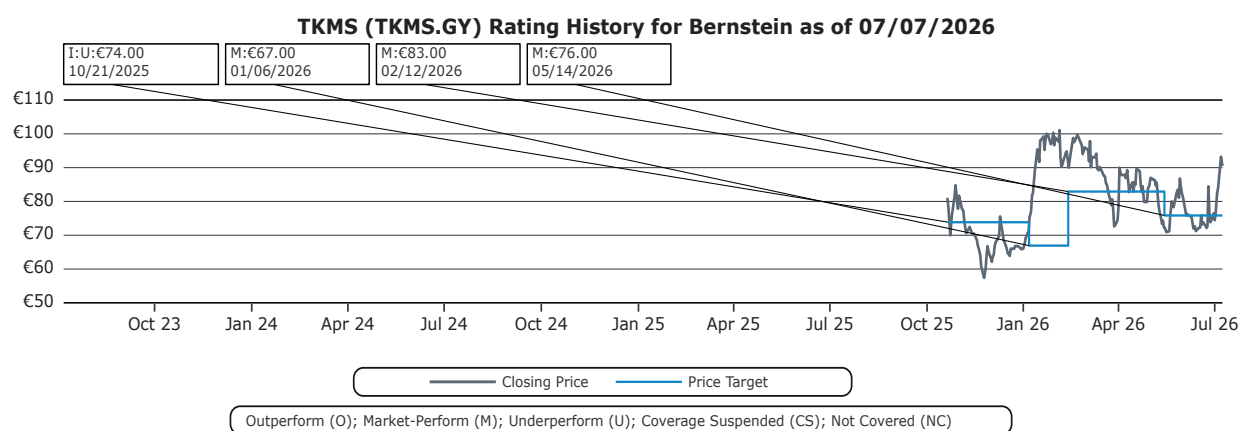
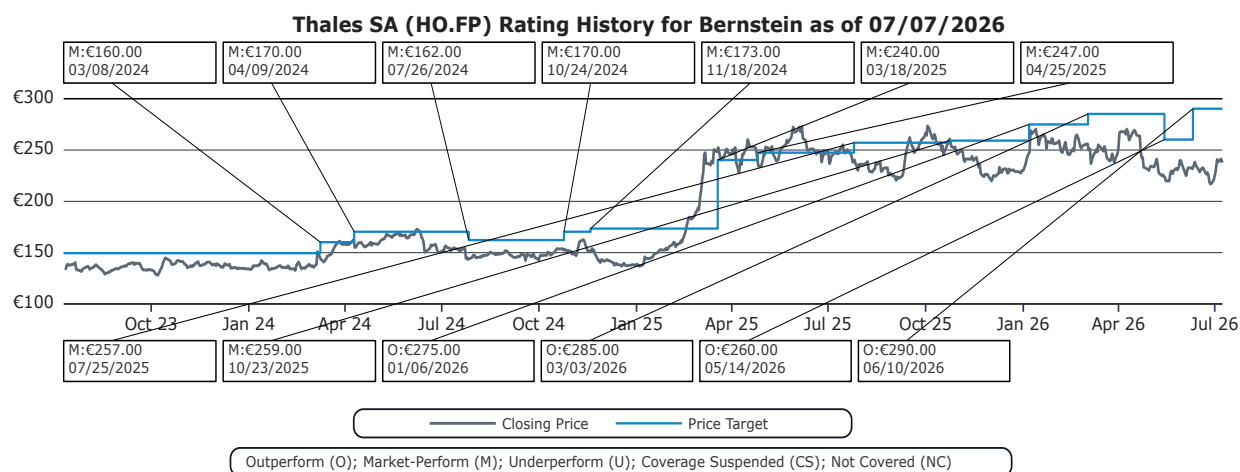
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As of June 30, 2026. All figures are updated quarterly.

PRICE CHARTS / RATINGS AND PRICE TARGET HISTORY



Dassault Aviation SA (AM.FP) Rating History for Bernstein as of 07/07/2026**Leonardo SpA (LDO.IM) Rating History for Bernstein as of 07/07/2026****Rheinmetall AG (RHM.GY) Rating History for Bernstein as of 07/07/2026**



All price target and closing price data in the chart(s) above are denominated in the currency noted in the Ticker Table of this report.

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